INSITE™ | DEVELOPMENT IMPACT FINANCING PROGRAM

Land-secured financing of development impact fees for small residential subdivisions in California

Stakeholder overview | Pre-launch draft v1.0 | July 2026 | Prepared for Dennis Lanni, HGF Management Company

The fees are due before the first home sells

Impact fees fund the roads, parks, and utility capacity new residents need. Proposition 13 pushed cities toward charging new construction directly, and the Mitigation Fee Act governs how. The amounts are large, and they land at the building permit, months or years before revenue.

$23,455

Average California impact fee per single-family home (2015), nearly 3x the national average. Terner Center, UC Berkeley

$150,000+

Total development charges per unit in some California cities, before utility fees. Terner Center / HCD study

$19,806

Average impact fee per unit on 2020-2023 affordable projects; 134 projects paid over $30,000 per unit. Terner Center, 2026

A ten-home project can owe several hundred thousand dollars at the permit counter.

Small builders pay the most for money

- Projects of 2 to 50 lots rarely carry institutional credit lines; the fee bill comes from working capital or private lenders
- Published 2025-2026 guides price private real estate money at roughly 9.5 to 15 percent, with land at the expensive end
- Cash paid at the counter is cash not building homes; expensive money shrinks what small builders can deliver
- Large master-planned communities solved this decades ago with land-secured districts; small projects were priced out of the tool

The gap is not legal capability. It is transaction economics and calendar cadence, and that is an operating-model problem.

WHY NOW

The state is mass-producing exactly these projects

10

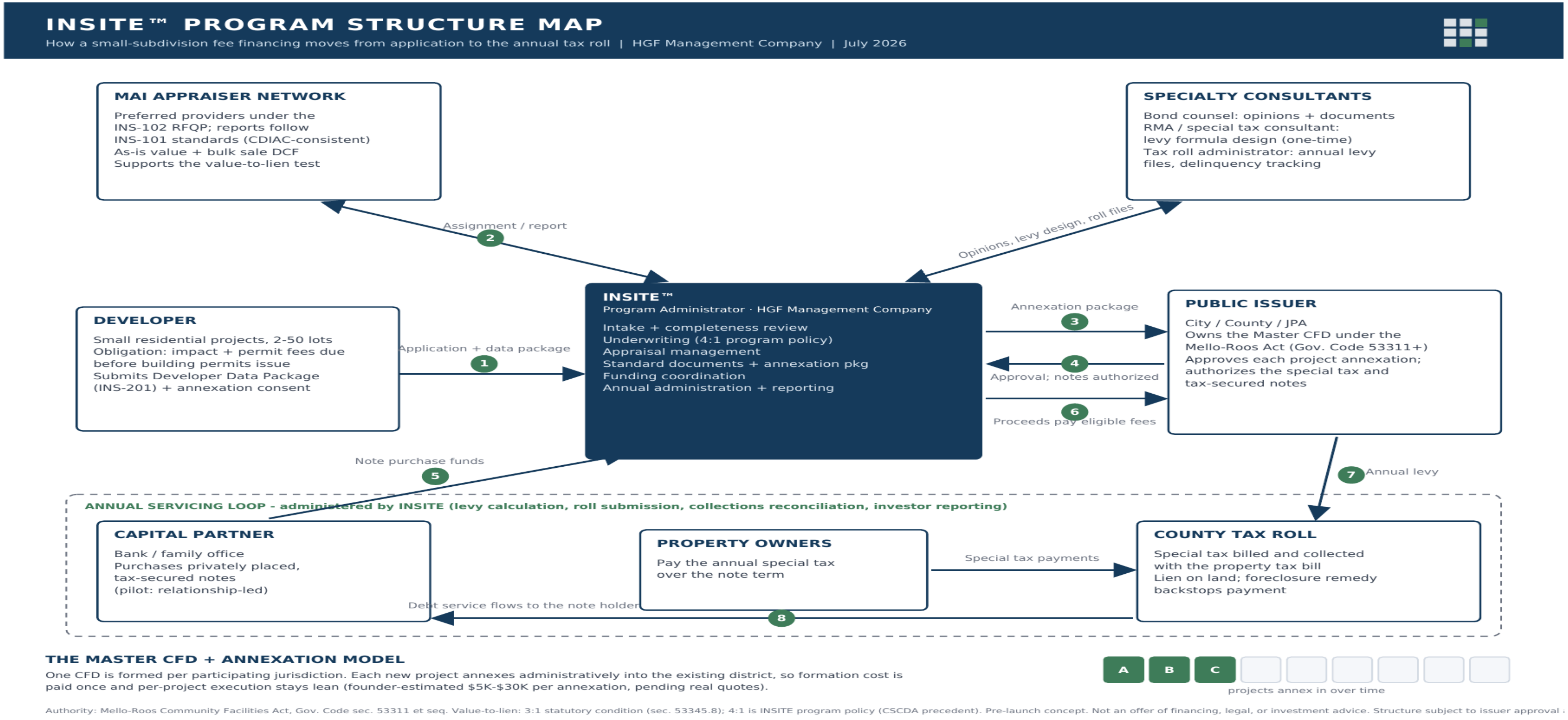
lots or fewer, approved ministerially

- Senate Bill 684 (effective July 2024): subdivisions of 10 or fewer lots on multifamily-zoned sites must be approved ministerially, no hearings, no discretionary review, no environmental review, on a 60-day clock
- Senate Bill 1123 (effective July 2025): the same fast lane extends to vacant single-family-zoned lots up to 1.5 acres
- Cities including Los Angeles have published implementation checklists; the pipeline grows by statute
- Every one of these projects meets the fee counter at the building permit

A 44-year-old law, used as designed

- The Mello-Roos Community Facilities Act of 1982 (Government Code 53311 and following) lets a public agency levy a voluntary special tax inside a Community Facilities District
- On undeveloped land with fewer than 12 registered voters, the landowners are the electors: the developer approves the tax on their own property
- The approved tax becomes a recorded lien, billed and collected with the ordinary property tax bill, with a foreclosure remedy behind it
- Districts may finance development impact fees themselves, may cover scattered parcels, and may designate a future annexation area new projects join later
- Statutory protections: an occupied home's tax cannot rise more than 10 percent because a neighbor went delinquent (53321(d)); the tax can never be based on property value; every owner holds a defined prepayment right

One district per city. One signature per project.



Numbered flows 1-8: application, appraisal, annexation package, approval, funding, fee payment, annual levy, debt service.

Form once. Annex forever. Zones stay separate.

Projects annex into the existing district over time; formation cost is paid once per jurisdiction.

- A Master District is formed with a recorded Future Annexation Area on the boundary map
- Each project joins by the landowner's one-page Unanimous Approval, acting as the election; no hearing, no ballot
- Each project becomes its own tax zone with its own maximum tax table and its own note; a zone's taxes repay only that zone's debt (53339.3(d))
- The pattern operates today in Escondido, Chula Vista, and Roseville; INSITE standardizes and administers it for the small end

ROLES

The issuer owns every approval. INSITE does the work.

Party	Role
Public issuer (city, county, or joint powers authority)	Owns the Master District, adopts policies, approves each annexation, authorizes the special tax and notes
INSITE (HGF Management Company)	Program administrator: intake, underwriting, appraisal management, documents and zone exhibits, funding coordination, annual administration and reporting
Independent MAI appraiser panel	Values every project to state (CDIAC) standards; supports the value finding; never an INSITE employee
Bond counsel, special tax consultant, tax roll administrator	Selection in progress; opinions, tax formula template, annual levy files. Contracted first per the sourcing plan
Capital partner	Purchases each privately placed, tax-secured note
County tax collector and property owners	Bills with the property tax; owners pay the disclosed, prepayable special tax over the note term

Stricter than the statute, by policy

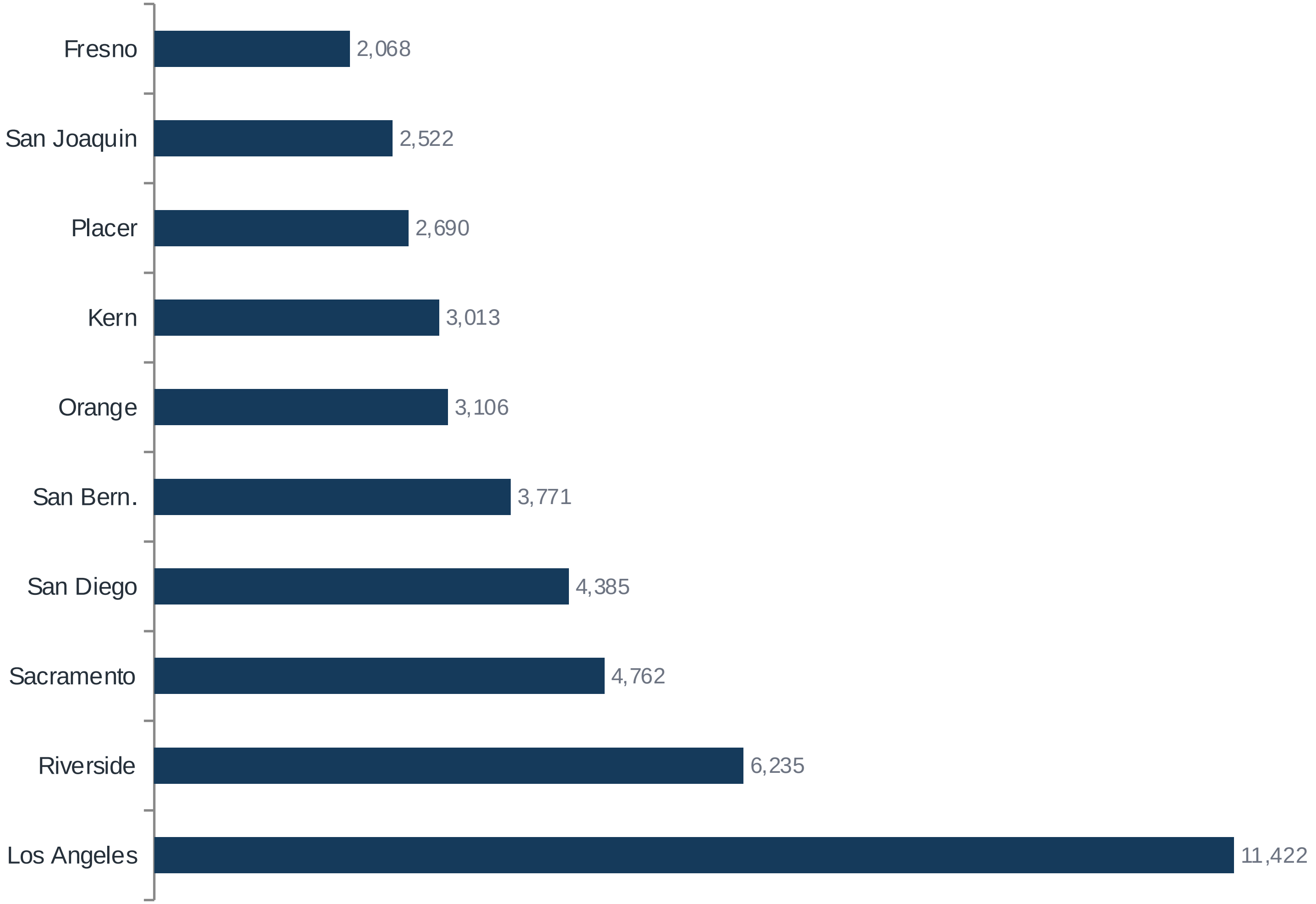
Value-to-lien

3 : 1 statute (53345.8)

4 : 1 INSITE policy (CSCDA precedent)

- Appraisals by independent MAI professionals under the State Treasurer (CDIAC) standards the statute requires
- Total tax burden benchmarked at 2 percent of expected home value, per the adopted policy of the state's largest issuer; each city's own cap confirmed before sizing
- Illustrative sizing: 10 lots financing $250,000 over 30 years near 6 percent works out to roughly $2,300 per home per year, including administration and a 10 percent coverage cushion (arithmetic, not a quote)
- Inputs arrive on the standard data package (INS-201); appraisal scope per the program manual (INS-101)

62,372 units in the target segment last year



- California permitted 103,856 housing units in 2025; 62,372 (60.1 percent) were in 1-to-4-unit structures. U.S. Census primary files, recomputed
- At an assumed $25,000 of financeable public fees per unit, the measured segment is roughly $1.56 billion per year of fee obligations. The assumption is stated wherever the figure appears
- Projects of 5 to 50 units are excluded because public data cannot separate them from large complexes: the estimate is deliberately conservative

COMPETITIVE LANDSCAPE

Not the first. Built for a different customer.

	SCIP (CSCDA)	BOLD (CMFA)	INSITE (proposed)
Mechanism	1913/1915 assessments, district option	Mello-Roos districts	Mello-Roos master district + annexation zones
Published scale	Typically from $500,000 in fees; pooled sales about 3x per year	About $550 million, 65+ projects, 12,000+ units since 2020 (about 185 units per project)	2 to 50 lots; one small note per project, on the project's schedule
Cadence	Pool calendar	Project issuances	Administrative annexation per deal
Segment	Mid to large	Large	Small, purpose-built

Both programs prove the mechanism and the market. The gap is fixed cost per transaction and calendar, which is what the operating model attacks.

An administrator, never a lender

- Revenue: transaction fees at each funding, plus annual administration fees for the life of every zone (levy, collections reconciliation, delinquency monitoring, investor reporting)
- The Act contemplates it: district administrative expenses, including consultants, are recoverable through the special tax (53317(d))
- Sourcing: independence functions (counsel, appraisal) stay outside permanently; the tax roll administrator is contracted first with shadow and transition rights, then brought in-house on defined triggers
- The document library is the moat: standard checklist, appraisal manual, tax formula template, annexation package, workbook
- Every closed deal pays administration for decades; the annual book compounds

Small first, honest throughout

Pilot and rollout

- Pilot: a small finished-lot subdivision in the Sacramento area, financing eligible permit and impact fees; specifics publish when documents are final
- Phase by demand: first city direct, neighboring jurisdictions next, all documents issuer-neutral
- A joint powers authority is the end state, not the start: formed or joined at roughly the third jurisdiction when defined triggers fire

Risk factors, stated plainly

- Per-deal execution cost is a founder estimate ($5,000 to $30,000) until real quotes exist
- No purchaser committed; small-note appetite is what the pilot must prove
- City adoption pace; six-plus months to form each district before any JPA exists
- Delinquency and foreclosure timelines; trademark clearance pending; school fees excluded at launch
- Incumbents could move down-market

Status and asks

Proven today

- The legal mechanism and live annexation precedents
- Market arithmetic from primary Census data
- A verified document library: whitepaper, claims register with source URLs, appraisal manual and RFQP, data package checklist, structure map, strategy memos, brand system, website with calculator
- Underwriting policy stricter than statute, with issuer precedent

Pending, and asked of this room

- Select bond counsel, the special tax consultant, and the tax roll administrator (criteria prepared)
- A briefing with the pilot city's finance and community development staff
- Capital diligence review of the package, toward a term sheet
- Trademark clearance and the public-name decision before anything external